

China Autos

Weaker demand, ongoing consolidation

Equities
Automobiles

China

- ◆ Lower 2026 forecasts on weaker-than-expected 1H26 demand
- ◆ Ongoing consolidation and pricing pressure continue to weigh on sector earnings
- ◆ Revise OEM forecasts and remain selective on stock picks; downgrade Great Wall A/H to Hold/Hold; cut TPs

Demand has softened faster than expected: We lower our 2026 China passenger vehicle and EV demand y-o-y growth forecasts to -13% (from -5%) and -6% (from +10%), respectively, following a weaker-than-expected 1H26. The latest CPCA data continue to point to soft demand, with 1-19 July passenger car retail volume down 16% y-o-y and NEV retail volume down 4% y-o-y. Replacement demand has moderated after the subsidy-driven pull-forward, while consumers have become increasingly selective given frequent product launches and a more competitive market. Although we expect demand to improve sequentially in 2H26, we believe the recovery will be more gradual than previously anticipated.

Industry consolidation still in process, while domestic pricing likely to remain under pressure: Rising EV penetration continues to reshape China's auto market, but industry profitability remains under pressure. Intense competition, persistent pricing pressure and elevated inventories at traditional OEMs continue to weigh on margins, particularly for joint-venture businesses. At the same time, exports remain an important source of growth, helping leading Chinese OEMs partially offset softer domestic demand. We therefore expect industry consolidation and earnings divergence to continue as stronger players further extend their competitive advantages.

Stock selection matters more than sector exposure: While Great Wall's shares have already corrected significantly, we believe earnings visibility has weakened further following softer-than-expected Q2 guidance, lower industry demand expectations and continued uncertainty around the Russia scrappage tax refund. We therefore downgrade Great Wall A/H shares from Buy to Hold, while maintaining Hold on GAC A/H shares and BAIC. We continue to prefer OEMs with stronger export franchises, competitive local brands and healthier product cycles, and do not yet see conditions for a broader sector re-rating. Until industry demand and profitability stabilize, we expect execution differences to drive performance divergence.

Yuqian Ding*

Head of China Technology & Autos Research
The Hongkong and Shanghai Banking Corporation Limited
yuqian.ding@hsbc.com.hk
+852 2288 5108

Li Yang*

Analyst, China Autos
The Hongkong and Shanghai Banking Corporation Limited
li01.yang@hsbc.com.hk
+852 2288 6216

** Employed by a non-US affiliate of HSBC Securities (USA) Inc, and is not registered/ qualified pursuant to FINRA regulations*

No country for bears

The 24th edition of the EM Sentiment Survey

[Click to view](#)

Key changes to ratings and target prices

Ticker	Company	Ccy.	Market Cap (USDm)	3M ADTV (USDm)	Close price	Target price		Rating		Upside/ downside	PB			ROE		
						Old	New	Old	New		2026e	2027e	2028e	2026e	2027e	2028e
601633 CH	Great Wall A	CNY	17,501	56	16.09	31.20	15.90	Buy	Hold	1%	1.4	1.3	1.2	11%	13%	14%
2333 HK	Great Wall H	HKD	20,178	24	9.09	21.60	9.30	Buy	Hold	-2%	0.7	0.6	0.6	11%	13%	14%
601238 CH	GAC A	CNY	6,351	23	5.10	8.23	5.08	Hold	Hold	0%	0.5	0.5	0.5	-6%	0%	2%
2238 HK	GAC H	HKD	6,351	5	2.19	3.62	2.13	Hold	Hold	3%	0.2	0.2	0.2	-6%	0%	2%
1958 HK	BAIC	HKD	889	1	0.87	2.20	0.80	Hold	Hold	9%	0.1	0.1	0.1	-2%	-1%	0%

Source: Bloomberg, HSBC estimates. Priced as of close on 21Jul 2026

Disclosures & Disclaimer

This report must be read with the disclosures and the analyst certifications in the Disclosure appendix, and with the Disclaimer, which forms part of it.

Issuer of report: The Hongkong and Shanghai Banking Corporation Limited

View HSBC Global Investment Research at:
<https://www.research.hsbc.com>

Demand reset, ongoing consolidation

- ◆ We trim our 2026 China auto demand forecasts on weaker demand
- ◆ Consolidation continues as competition weighs on profitability, despite rising EV penetration
- ◆ We remain selective on stocks; cut estimates on Great Wall, GAC and BAIC, and downgrade Great Wall A/H to Hold/Hold

Demand reset; recovery pushed further into 2H26

Trim PC and EV 2026e demand; turning point might come in September

In 1H26, China's passenger-vehicle retail sales totalled 8.72m units, a 20% y-o-y decline, while EV sales reached 4.7m units, down 14% y-o-y. The latest CPCA weekly data suggest demand remained soft into July, with passenger car retail volume down 16% y-o-y and NEV retail volume down 4% y-o-y during 1-19 July. Beside the broader low level of overall consumer propensity, the reduced replacement-subsidy support likely pulled forward demand into 2025, leaving less momentum in 1H26. On the industry side, while headline price wars have been contained, manufacturers have competed by launching more new models with improved specifications without raising prices. Given the market is increasingly replacement-led, faster product refresh cycles may be reinforcing a "wait-and-see" approach among buyers, extending replacement timelines.

Against this backdrop, we have revised our 2026 China passenger-car demand growth forecast to -13% (from -5%). We maintain a -2% y-o-y forecast for 2027, as we still expect some demand to be pulled forward into late 2026 ahead of the anticipated phase-out of replacement subsidies. We have also lowered our EV penetration assumptions following weaker-than-expected 1H26 EV sales growth; our updated EV penetration forecasts for 2026–28 are 58%, 65%, and 71%, respectively.

In our updated forecasts, we expect a modest sequential recovery in 2H26, with the y-o-y decline narrowing to 7%, driven mainly by a seasonal uplift from September and refreshed product line-ups (180+ new models in 2H26) to reignite consumer interest, alongside a likely pre-buying wave in 4Q26 ahead of the potential expiry of the replacement subsidies policy at end-2026.

Exhibit 1. China passenger car and EV demand forecast changes

	New forecasts				Old forecasts				Change			
	2026e	2027e	2028e	2030e	2026e	2027e	2028e	2030e	2026e	2027e	2028e	2030e
PV volume (in m units)	20.6	20.2	20.2	20.2	22.5	22.1	22.1	22.1	-8%	-8%	-8%	-8%
PV volume y-o-y growth (%)	-13%	-2%	0%	0%	-5%	-2%	0%	0%	-8%	0%	0%	0%
EV volume (in m units)	12.0	13.2	14.3	16.7	14.1	15.5	17.0	19.5	-15%	-15%	-16%	-15%
EV volume y-o-y growth (%)	-6%	10%	8%	8%	10%	10%	10%	6%	-16%	0%	-2%	2%
EV penetration (%)	58%	65%	71%	82%	62%	70%	77%	88%	-4%	-5%	-6%	-6%

Source: HSBC estimates. PV: passenger vehicle. EV: electric vehicle.

Exhibit 2. We trim 2026e demand growth to -13% y-o-y, -6% for EV

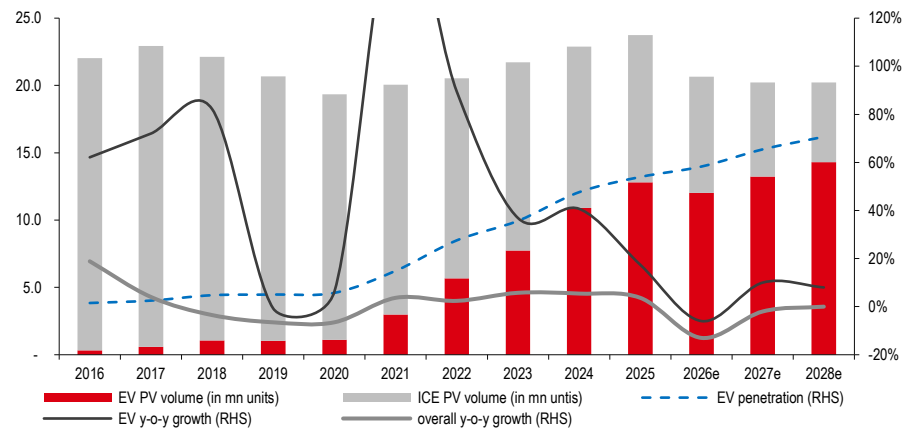


Exhibit 3. EV penetration rate remained at 63% in June 2026

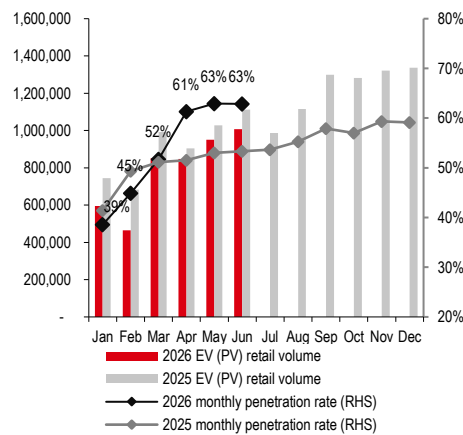
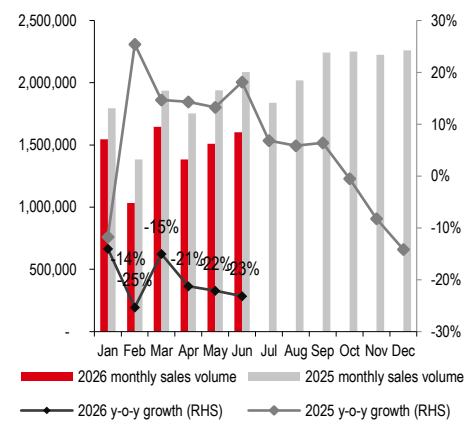


Exhibit 4. Overall auto retail sales decreased 20% y-o-y in 1H26



ICE segment under siege: structural contraction accelerates in 2026

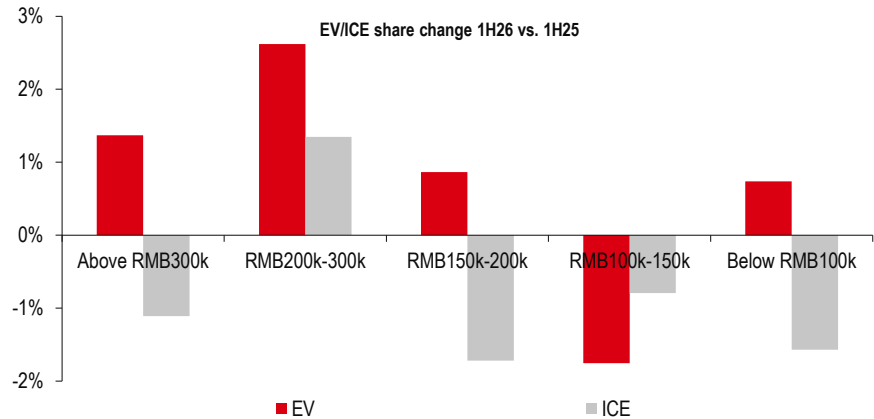
Retail sales of ICE vehicles fell 26.3% y-o-y in 1H26, with the decline widening sharply in 2Q (-38.2%) versus 1Q (-14.3%). Demand was comparatively resilient only in the RMB200k–300k price band; by contrast, ICE demand weakened materially in both the mass market and premium segments above RMB300k (down 24–36%). As consumers weighed refuelling and running costs alongside smart cockpit and intelligent driving capabilities, preferences continued to shift towards EVs.

On the supply side, pressure intensified. While inventory indicators for JV brands and traditional luxury brands eased m-o-m in June, they remained well above the 1.5 threshold. Dealers sustained elevated discounts to clear stock, further undermining pricing discipline. OEMs also curtailed new ICE launches –12 of 102 new models in 1H26, and 16 of 184 in 2H26e – slowing product refresh cycles. With ICE product competitiveness lagging EVs, ICE market share continued to be displaced across most price tiers in 1H26.

By brand, high-end Chinese EVs (Zeekr 9X, NIO ES8/ES9, XPeng GX, etc) have continued to pressure incumbent luxury players since 2H25. Despite ongoing discounting, BMW and Mercedes-Benz saw faster declines in 1H26 versus 2025: BMW -20% y-o-y (vs -15% in 2025) and Mercedes-Benz -27% y-o-y (vs -20%). In the mass-market segment, Toyota and Volkswagen returned to contraction in 1H26 amid softer trade-in subsidies versus 2025: Toyota -9% y-o-y and Volkswagen -27% y-o-y.

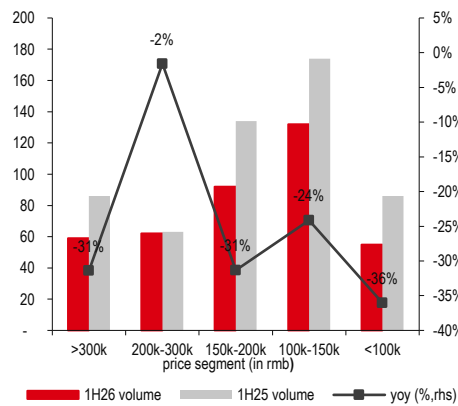
Looking into 2H26, we expect ICE demand to recover sequentially with the peak season, though the rebound should lag EVs. The long-term trajectory remains unchanged: EVs will continue to take share from ICE vehicles, with EV penetration projected to reach 82% by 2030.

Exhibit 5. ICE cars lost share in most price segments except RMB200k-300k



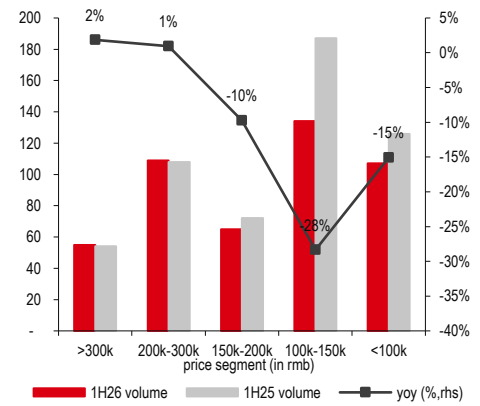
Source: CPCA, HSBC

Exhibit 6. In 1H26, ICE vehicle volumes contracted significantly across nearly all price segments



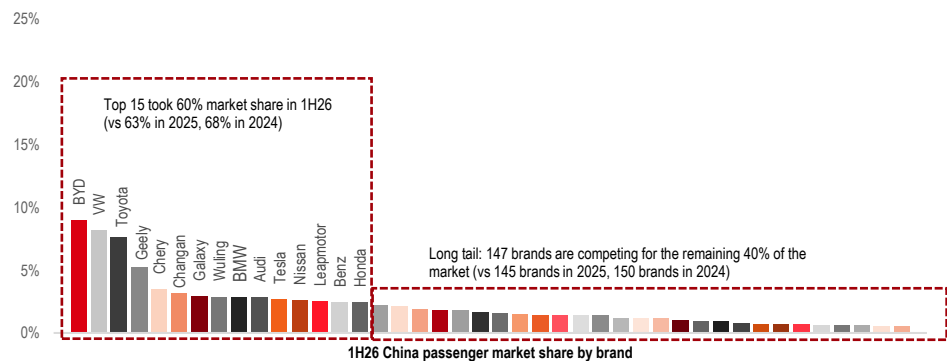
Source: CPCA, HSBC

Exhibit 7. In 1H26, demand for premium EVs proved more resilient

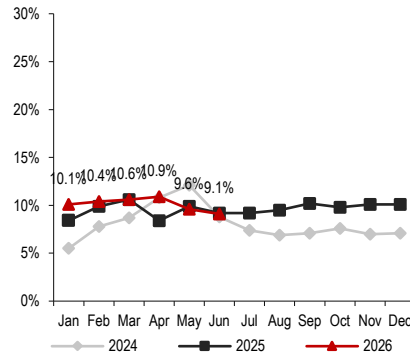


Source: CPCA, HSBC

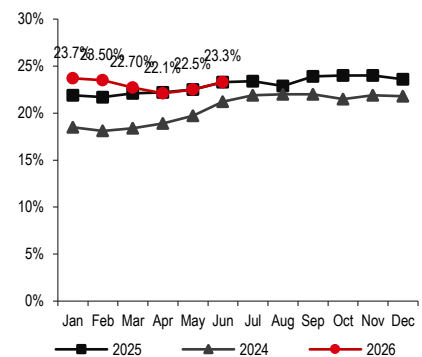
Exhibit 8. China overall passenger car market: Top 15 brands took 60% share in 1H26



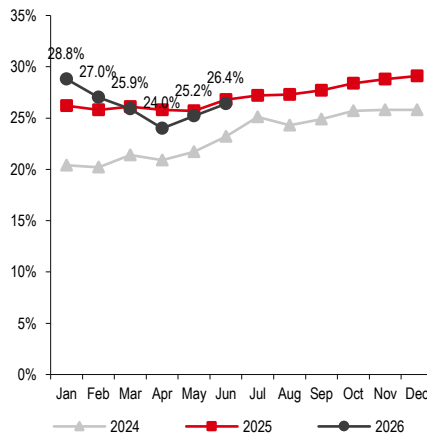
Source: CPCA, HSBC

Exhibit 9. China EV passenger vehicle discount level at relatively low level...


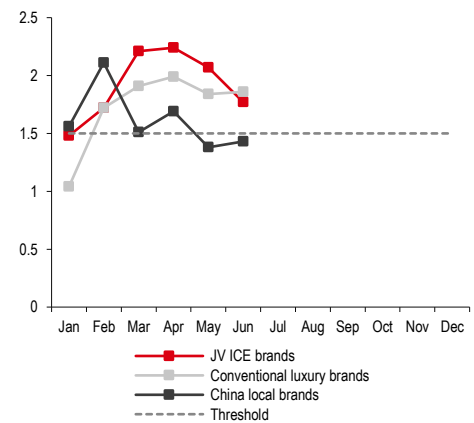
Source: CPCA, HSBC

Exhibit 10. ...while ICE still under pricing pressure


Source: CPCA, HSBC

Exhibit 11. Luxury ICE car discount levels are even higher


Source: CPCA, HSBC

Exhibit 12. JV brands and conventional luxury brands are at high inventory levels


Source: CADA, HSBC

Mapping OEM stocks

Based on our lower industry demand forecasts, we cut our estimates for Great Wall, GAC and BAIC, which are relatively under pressure given weaker EV cycles. We downgrade Great Wall A/H shares to Hold from Buy ratings, and retain our Hold ratings on GAC A/H shares, and BAIC.

Exhibit 13. Key changes to ratings and estimates

Ticker	Company	Ccy.	Market Cap (USDm)	3M ADTV (USDm)	Close price	Target price		Rating		Upside/ downside	PB			ROE		
						Old	New	Old	New		2026e	2027e	2028e	2026e	2027e	2028e
601633 CH	Great Wall A	CNY	17,501	56	16.09	31.20	15.90	Buy	Hold	1%	1.4	1.3	1.2	11%	13%	14%
2333 HK	Great Wall H	HKD	20,178	24	9.09	21.60	9.30	Buy	Hold	-2%	0.7	0.6	0.6	11%	13%	14%
601238 CH	GAC A	CNY	6,351	23	5.10	8.23	5.08	Hold	Hold	0%	0.5	0.5	0.5	-6%	0%	2%
2238 HK	GAC H	HKD	6,351	5	2.19	3.62	2.13	Hold	Hold	3%	0.2	0.2	0.2	-6%	0%	2%
1958 HK	BAIC	HKD	889	1	0.87	2.20	0.80	Hold	Hold	9%	0.1	0.1	0.1	-2%	-1%	0%

Source: Bloomberg, HSBC estimates. Priced as of close at Jul 21, 2026

We base our valuations on prevailing/trough trading PE multiples rather than long term historical averages. While valuations appear depressed, we do not expect a meaningful re-rating over our target price horizon, given muted demand, ongoing pricing pressure and limited product cycle catalysts across conventional OEMs. In the absence of a clear earnings or demand inflection, we believe current market multiples better represent fair value than historical averages. The key debate is not whether these stocks are cheap on an historical range basis, but whether there is a catalyst for the market to pay a higher multiple. We think the answer is not yet.

Valuation and risks

Great Wall

Lower 2026-27e net profit mainly on weaker domestic demand

Great Wall Motor has released its Q2 2026 earnings preview, guiding net profit of RMB1.4–1.6bn, below our prior expectations. The key headwind is a delay in the Russian scrappage tax refund process. Around RMB2bn was refundable for the period Q4 2025 to Q1 2026; while partial receipt had been expected in Q2 2026, the funds are now anticipated before year-end. Additionally, despite Q2 sales rising 17% q-o-q (vs +14% q-o-q for overall passenger vehicle wholesale volumes), supported by export momentum (export sales +24% q-o-q), its 1H26 volumes dropped 12% y-o-y, driven by weak domestic demand.

Great Wall's A- and H-shares are down 27% and 38% YTD, respectively (vs CSI300 +2% and HSI -2%), reflecting weak domestic auto sector beta and ongoing quarterly earnings uncertainty linked to the Russian tax refund. Looking ahead, we expect 2H26 volumes to improve with the seasonal upturn from September and continuing export growth, but still forecast softer full-year 2026 growth, as weak domestic demand partially offsets export expansion (we reduce our 2026 volume growth estimate from 10% to 7%). The timing of the Russian scrappage tax refund remains a key earnings risk. As a result, we are more cautious on profitability and downgrade both A- and H-shares to Hold from Buy.

Earnings revisions. We cut our 2026 net profit forecast by 23%, mainly on the following changes:

1. **Volume:** Reflecting weaker domestic passenger vehicle demand, we reduce our 2026 wholesale volume forecast to 1.41 million units (from 1.46 million).
2. **Gross margin:** Generally, we expect a lower gross margin for the company given lower volume scale. But its exports expansion (we expect monthly export volumes to reach ~70k units by year-end) and 2H26 new cars with relatively high pricing (Haval H10, WEY V9X/V8X, new Tank 300, and Tank 800) are likely to partially offset cost pressures and lower scale. All in all, we reduce our 2026 gross margin forecast to 15.2% (from 15.4%).
3. **OPEX:** Given ongoing investment in new model marketing and overseas channel expansion, we increase our OPEX ratio estimate to 11.0% (from 10.3%).

We also lower our 2027 net profit forecast by 14%, primarily due to a lower gross margin on weaker domestic demand and higher OPEX assumptions. We introduce our 2028 forecasts in this report.

Exhibit 14. Estimate changes

(RMBm)	New			Old			Change		
	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e
Revenue	240,667	280,600	291,336	240,579	252,153	NA	0%	11%	NA
Gross Profit (incl. D&A)	36,543	43,432	45,534	37,118	40,200	NA	-2%	8%	NA
GPM (incl. D&A)	15.2%	15.5%	15.6%	15.4%	15.9%	NA	-0.2ppts	-0.5ppts	NA
OPEX ratio	11.0%	10.8%	10.3%	10.3%	10.3%	NA	0.7ppts	0.5ppts	NA
Net profit	10,482	13,045	15,111	13,583	15,088	NA	-23%	-14%	NA
EPS (RMB)	1.22	1.52	1.77	1.59	1.76	NA	-23%	-14%	NA

Source: HSBC estimates

Exhibit 15. Our estimates vs Bloomberg consensus

(RMBm)	HSBC estimates			Consensus			Difference		
	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e
Revenue	240,667	280,600	291,336	252,068	284,629	312,451	-5%	-1%	-7%
Net profit	10,482	13,045	15,111	11,080	13,012	14,810	-5%	0%	2%

Source: Bloomberg, HSBC estimates

Downgrade to Hold/Hold ratings with lower TPs of RMB15.90 and HKD9.30. We continue to use a PE methodology and apply a target multiple of 13x (from 20x; based on Great Wall's average PE over the last three months) to our 2026 EPS estimate of RMB1.22 (previously 2025e of RMB1.56), to get our refreshed A-share target price of RMB15.90 (previously RMB31.20).

We also update the Great Wall H- to A-share valuation discount to 50% (previously 37%), given recent lower risk appetite and liquidity. Using HSBC's end-2026 RMB-HKD exchange rate forecast of 1.17 (from end-2025's 1.10), we arrive at our new H-share target price of HKD9.30 (previously HKD21.60).

Our new A-share TP implies 3% downside to current levels; our new H-share TP implies 2% upside to current levels; we therefore downgrade our ratings for both stocks to Hold (from Buy). For the RMB counter (82333 HK) of H-shares, we convert our H-share target price of HKD9.30 to RMB based on HSBC's end-2026 RMB-HKD exchange rate forecast of 1.17 (from end-2025's 1.10 previously). This returns a target price of RMB7.98 (previously RMB19.66).

Key upside risks: Stronger-than-expected domestic sales of the new models and refreshments; stronger-than-expected overseas volume expansion; sooner-than-expected Russian tax refund.

Key downside risks: Fluctuation in FX rate and slower-than-expected Russian tax refund; weaker-than-expected overseas sales volume growth; slower-than-expected domestic new models' volume ramp-up in domestic market given fierce competition.

Exhibit 16. Great Wall-A is trading at a 11.8x 12-month forward PE vs its historical average of 23.2x

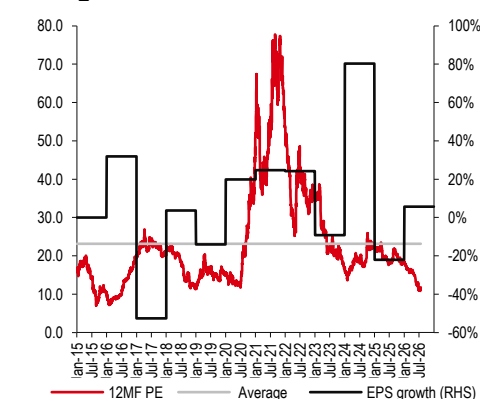
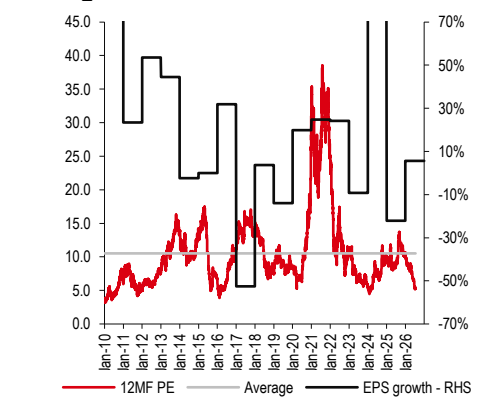


Exhibit 17. Great Wall-H is trading at a 5.3x 12-month forward PE vs its historical average of 10.5x



GAC

2Q26 profit warning below expectations. GAC guided for a 2Q26 net loss of RMB3.4bn-3.9bn, below our expectations. The weaker earnings were largely due to raw material cost pressure across both its local and JV brands, together with higher sales and marketing expenses related to new model launches.

Local-brand sales remained resilient while JV performance diverged. Its local-brand sales volume increased 31% y-o-y in 1H26, supported by exports (+132% y-o-y to 122k units) and new models including the Aion i60 and N60, which partially offset softer domestic demand. Within the JV business, GAC Toyota volume largely held up with 1H26 volume up 3% y-o-y, supported by models such as bZ3X and bZ7, while GAC Honda continued to see significant volume declines (-56% y-o-y) due to an ageing product portfolio.

Looking into 2H26, local brands may see a gradual recovery, but JV weakness is likely to remain the key earnings drag. The first model under the AISTALAND brand (collaboration with Huawei), GT7, started deliveries in July, while the GX7 is scheduled for launch later this year. These launches, together with continued export growth, should provide incremental support to local-brand sales and product mix. However, we expect persistent weakness in the JV business, particularly Honda, to continue weighing on investment income and overall earnings.

Earnings revisions. We downgrade our 2026 net profit forecast from breakeven to a net loss of RMB5.9bn, primarily driven by the following updates:

- Volume:** We increase our 2026 local-brand volume estimate to 720k units (from c650k units), supported by export expansion and the ramp-up of AION and AISTALAND new model launches.
- Gross margin:** We reduce our 2026 gross margin forecast to -1.3% (from 3.4%), reflecting higher cost inflation following this year's raw material price increases.
- OPEX:** In light of continued investment in new-model marketing and overseas channel expansion, we raise our OPEX ratio estimate to 10.0% (from 9.3%).
- Investment income:** We cut 2026 investment income from JV brands by 38%, mainly due to a significant volume contraction at GAC Honda.

We also lower our 2027 net profit forecast by 79%, primarily due to lower investment income from JV brands. We introduce our 2028 forecasts in this report.

Exhibit 18. Estimate changes

(RMBm)	New			Old			Change		
	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e
Revenue	113,612	132,731	138,554	93,385	100,383	NA	22%	32%	NA
Gross Profit (incl. D&A)	-1,441	6,011	8,169	3,138	4,664	NA	-146%	29%	NA
GPM (incl. D&A)	-1.3%	4.5%	5.9%	3.4%	4.6%	NA	-4.6ppts	-0.1ppts	NA
OPEX ratio	10.0%	9.3%	9.3%	9.3%	9.3%	NA	+0.7ppts	-	NA
Investment income	2,489	2,406	2,326	4,002	4,477	NA	-38%	-46%	NA
Net profit	-5,906	409	1,922	596	1,964	NA	-1091%	-79%	NA
EPS (RMB)	(0.58)	0.04	0.19	0.06	0.19	NA	-1101%	-79%	NA

Source: HSBC estimates

Exhibit 19. Our estimates vs Bloomberg consensus

(RMBm)	HSBC estimates			Consensus			Difference		
	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e
Revenue	113,612	132,731	138,554	108,984	123,373	134,202	4%	8%	3%
Net profit	-5,906	409	1,922	-1,500	-76	1,947	-294%	638%	-1%

Source: Bloomberg, HSBC estimates

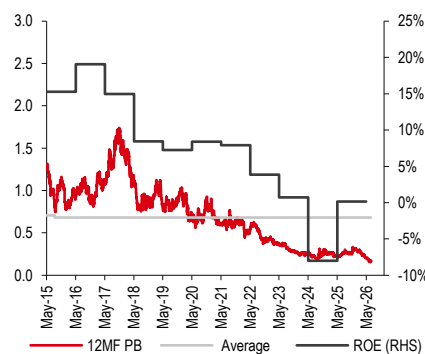
Maintain Hold ratings with lower TPs of RMB5.08 and HKD2.13. We continue to use a PB method to value the company, with a new target PB multiple of 0.52x (average of last one month 12-month forward PB; previously 0.75x). Applying this to 2026e BVPS of RMB9.77 (from 2025e's RMB10.97), we get a new target price for GAC A shares of RMB5.08 (from RMB8.23).

With an end-2026 RMB-HKD FX forecast of 1.17 (from end-2025's 1.10), and an updated H/A-share valuation discount of 64% (from 60%, given recent lower risk appetite and liquidity in the auto OEM space), we arrive at a new H-share target price of HKD2.13. Our TPs for the A- and H-shares imply c2%/c2% downside to respective current levels, thus we maintain Hold ratings on both shares.

Key upside risks: Better-than-expected incumbent owned brands and JV brands volume pick-up in 2H26; stronger-than-expected AISTALAND new model volume ramp-up; better-than-expected operating efficiency improvements from restructuring.

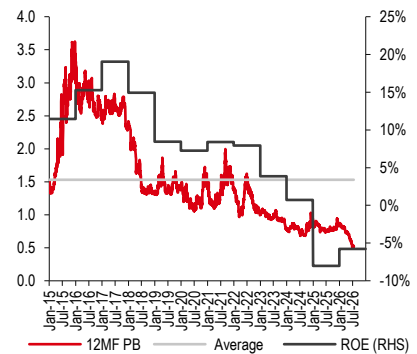
Key downside risks: Weaker-than-expected local brand/JV brands' volume growth and profitability could result in weaker-than-expected revenues and gross margins at the group level; weaker-than-expected operating efficiency improvements from restructuring; slower-than-expected AISTALAND brand execution and volume ramp up.

Exhibit 20. GAC-H is trading at 0.2x 12-month forward PB vs the historical average of 0.7x



Source: Bloomberg, HSBC estimates

Exhibit 21. GAC-A is trading at 0.5x 12-month forward PB vs the historical average of 1.5x



Source: Bloomberg, HSBC estimates

BAIC

Beijing Benz under material pressure in 1H26. As the core subsidiary of BAIC, Beijing Benz, reported an c31% y-o-y decline in sales, driven by intensified competition from a wave of China premium EV launches (eg, Zeekr 9X, NIO ES8/ES9, XPeng GX, etc) alongside subdued domestic consumer demand. Despite channel price cuts and promotions – reflected in a 11% q-o-q and 20% y-o-y reduction in the group's ASP in 1Q26 – the volume decline persisted. As Beijing Benz remains the group's primary contributor to revenue and earnings, the contraction had a direct and significant impact on overall profitability.

Beijing local brands and JV brand Hyundai were comparatively resilient. Beijing Hyundai 1H26 sales were down 5% y-o-y, materially better than the broader industry trend. This stability was supported by two factors: (1) meaningful dealer discounts that sustained baseline demand for petrol vehicles in the RMB100,000–150,000 segment; and (2) strong export momentum, with roughly 43k units shipped overseas in 1H26, helping to offset weaker domestic retail sales. In addition, BAIC's own brand (notably the BJ30 off-road model) maintained steady demand in their niches, providing incremental support to group performance.

The group posted a net loss attributable to shareholders of RMB830m in 1Q26; we expect it to remain loss-making in Q2 given an 11% q-o-q decline in sales. Looking ahead into 2H26, we expect volumes to improve sequentially with the seasonal peak from September. However, given the limited near-term visibility on a reversal in Beijing Benz's sales trajectory and the ongoing lack of profitability in the own-brand business, full-year revenue and earnings are likely to remain under y-o-y pressure.

Earnings revisions. We cut our 2026 net profit forecast from RMB1.4bn to a net loss of RMB1.0bn, primarily driven by the following updates:

1. **Volume:** We cut our 2026 Beijing Benz volume estimate to 381k units (from c470k), reflecting intensified competition from premium EV models in China. While Beijing local brands have been more resilient than expected, this is unlikely to offset the broader impact given Beijing Benz remains the key earnings contributor.
2. **Gross margin:** We lower our 2026 gross margin forecast to 9% (from 16%), mainly due to weaker operating leverage from reduced scale.
3. **OPEX:** We revise down our OPEX ratio estimate to 6.3% (from 8.2%), reflecting lower investment in R&D and selling expenses amid a relatively subdued new model cycle.

We also reduce our 2027 net profit forecast from RMB1.7bn to a net loss of RMB0.5bn, primarily due to a weaker volume outlook for Beijing Benz. We introduce our 2028 forecasts in this report.

Exhibit 22. Estimate changes

(RMBm)	New			Old			Change		
	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e
Revenue	150,285	142,273	134,723	166,060	180,909	NA	-9%	-21%	NA
Gross Profit (incl. D&A)	13,526	14,939	14,820	26,632	30,116	NA	-49%	-50%	NA
GPM (incl. D&A)	9.0%	10.5%	11.0%	16.0%	16.6%	NA	-7.0ppts	-6.1ppts	NA
OPEX ratio	6.3%	7.5%	8.0%	8.2%	8.2%	NA	-1.9ppts	-0.7ppts	NA
Investment income	(300)	(400)	(400)	(300)	(400)	NA	-	-	NA
Net profit	-1,025	-451	251	1,407	1,695	NA	-173%	-127%	NA
EPS (RMB)	(0.13)	(0.06)	0.03	0.18	0.21	NA	-173%	-127%	NA

Source: HSBC estimates

Exhibit 23. Our estimates vs Bloomberg consensus

(RMBm)	HSBC estimates			Consensus			Difference		
	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e
Revenue	150,285	142,273	134,723	158,306	155,738	149,922	-5%	-9%	-10%
Net profit	-1,025	-451	251	-1,062	-1,011	-616	3%	55%	141%

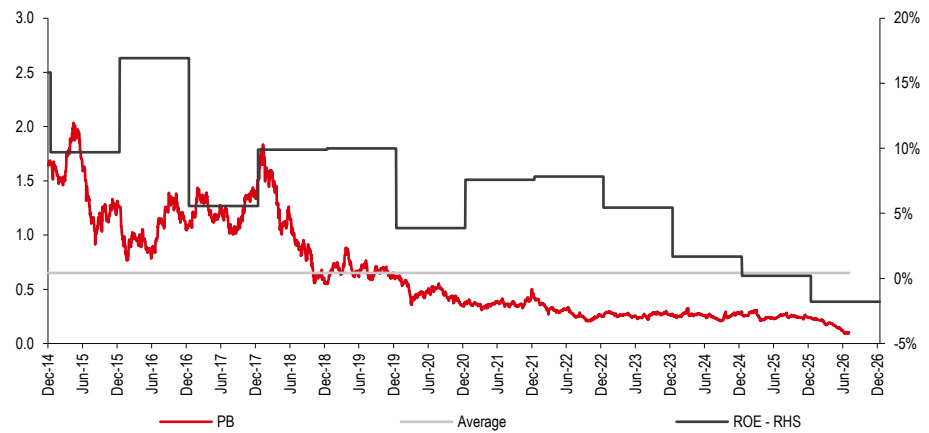
Source: Bloomberg, HSBC estimates

Maintain Hold rating with lower target price of HKD0.80 (from HKD2.20). We continue to use a PB multiple approach to value BAIC. With a target PB of 0.10x (average 12-month forward PB of last one month, from 0.27x), our new 2026e BVPS of RMB7.10 (previously 2025e's RMB7.32) and HSBC FX team's latest end-2026e RMB-HKD FX rate of 1.17 (previously end 2025's 1.10), we arrive at a new target price of HK0.80 (previously HKD2.20). Our target price implies c5% downside to current levels, thus we maintain Hold rating on the stock.

Key upside risks: Better-than-expected restructuring in brands/organization; stronger-than-expected Beijing Benz volume recovery in 2H26; sooner-than-expected new model launches in 2H26.

Key downside risks: Sooner-than-expected contraction in Beijing Benz's ICE car volume; weaker-than-expected sales volume momentum of Beijing local brands and Beijing Hyundai; slower-than-expected new EV model launches.

Exhibit 24. BAIC is trading at a 0.10x 12-month forward PB vs the historical average of 0.65x



Source: Bloomberg, HSBC estimates

Financials & valuation: Great Wall Motor A

Hold

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (CNYm)				
Revenue	222,824	240,667	280,600	291,336
EBITDA	14,748	21,179	25,815	29,716
Depreciation & amortisation	-9,482	-11,109	-12,689	-14,190
Operating profit/EBIT	5,267	10,070	13,127	15,526
Net interest	358	426	424	486
PBT	11,758	12,493	15,548	18,010
HSBC PBT	11,758	12,493	15,548	18,010
Taxation	-1,893	-2,011	-2,503	-2,899
Net profit	9,865	10,482	13,045	15,111
HSBC net profit	9,865	10,482	13,045	15,111
Cash flow summary (CNYm)				
Cash flow from operations	40,355	20,453	25,747	28,540
Capex	-11,509	-18,050	-21,045	-21,850
Cash flow from investment	-29,154	-18,050	-21,045	-21,850
Dividends	-2,995	-3,145	-3,914	-4,533
Change in net debt	-3,642	62	-1,557	-2,776
FCF equity	28,846	2,403	4,702	6,690
Balance sheet summary (CNYm)				
Intangible fixed assets	12,263	6,492	722	-5,048
Tangible fixed assets	35,042	47,753	61,880	75,310
Current assets	137,647	142,036	154,414	159,908
Cash & others	25,281	25,219	26,776	29,552
Total assets	225,288	238,301	262,000	276,325
Operating liabilities	126,105	131,250	145,817	149,565
Gross debt	11,291	11,291	11,291	11,291
Net debt	-13,990	-13,928	-15,485	-18,261
Shareholders' funds	87,892	95,760	104,892	115,469
Invested capital	33,566	39,813	44,422	51,053

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	10.2	8.0	16.6	3.8
EBITDA	-23.1	43.6	21.9	15.1
Operating profit	-47.9	91.2	30.4	18.3
PBT	-17.3	6.3	24.5	15.8
HSBC EPS	-22.1	6.3	24.5	15.8
Ratios (%)				
Revenue/IC (x)	6.9	6.6	6.7	6.1
ROIC	26.4	36.2	37.6	37.4
ROE	11.8	11.4	13.0	13.7
ROA	4.7	4.7	5.4	5.8
EBITDA margin	6.6	8.8	9.2	10.2
Operating profit margin	2.4	4.2	4.7	5.3
EBITDA/net interest (x)				
Net debt/equity	-15.9	-14.5	-14.8	-15.8
Net debt/EBITDA (x)	-0.9	-0.7	-0.6	-0.6
CF from operations/net debt				
Per share data (CNY)				
EPS Rep (diluted)	1.15	1.22	1.52	1.77
HSBC EPS (diluted)	1.15	1.22	1.52	1.77
DPS	0.35	0.37	0.46	0.53
Book value	10.27	11.19	12.26	13.49

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	0.5	0.4	0.4	0.3
EV/EBITDA	7.1	4.9	4.0	3.4
EV/IC	3.1	2.6	2.3	2.0
PE*	14.0	13.1	10.6	9.1
PB	1.6	1.4	1.3	1.2
FCF yield (%)	24.4	2.0	4.0	5.6
Dividend yield (%)	2.2	2.3	2.8	3.3

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2025a	Governance Indicators	12/2025a
GHG emission intensity*	28.3	No. of board members	8
Energy intensity*	73.0	Average board tenure (years)	6.9
CO ₂ reduction policy	Yes	Female board members (%)	37.5
Social Indicators		Board members independence (%)	37.5
Employee costs as % of revenues	9.6		
Employee turnover (%)	n/a		
Diversity policy	Yes		

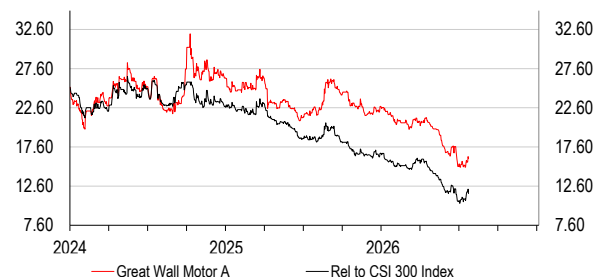
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (CNY)	16.09	Free float	100%
Target price (CNY)	15.90	Sector	Autos
RIC (Equity)	601633.SS	Country/Region	China
Bloomberg (Equity)	601633 CH	Analyst	Yuqian Ding
Market cap (USDm)	17,501	Contact	+852 2288 5108

Price relative



Source: HSBC

Note: Priced at close of 21 Jul 2026

Financials & valuation: Great Wall Motor

Hold

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (CNYm)				
Revenue	222,824	240,667	280,600	291,336
EBITDA	14,748	21,179	25,815	29,716
Depreciation & amortisation	-9,482	-11,109	-12,689	-14,190
Operating profit/EBIT	5,267	10,070	13,127	15,526
Net interest	358	426	424	486
PBT	11,758	12,493	15,548	18,010
HSBC PBT	11,758	12,493	15,548	18,010
Taxation	-1,893	-2,011	-2,503	-2,899
Net profit	9,865	10,482	13,045	15,111
HSBC net profit	9,865	10,482	13,045	15,111
Cash flow summary (CNYm)				
Cash flow from operations	40,355	20,453	25,747	28,540
Capex	-11,509	-18,050	-21,045	-21,850
Cash flow from investment	-29,154	-18,050	-21,045	-21,850
Dividends	-2,995	-3,145	-3,914	-4,533
Change in net debt	-3,642	62	-1,557	-2,776
FCF equity	28,846	2,403	4,702	6,690
Balance sheet summary (CNYm)				
Intangible fixed assets	12,263	6,492	722	-5,048
Tangible fixed assets	35,042	47,753	61,880	75,310
Current assets	137,647	142,036	154,414	159,908
Cash & others	25,281	25,219	26,776	29,552
Total assets	225,288	238,301	262,000	276,325
Operating liabilities	126,105	131,250	145,817	149,565
Gross debt	11,291	11,291	11,291	11,291
Net debt	-13,990	-13,928	-15,485	-18,261
Shareholders' funds	87,892	95,760	104,892	115,469
Invested capital	33,566	39,813	44,422	51,053

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	10.2	8.0	16.6	3.8
EBITDA	-23.1	43.6	21.9	15.1
Operating profit	-47.9	91.2	30.4	18.3
PBT	-17.3	6.3	24.5	15.8
HSBC EPS	-22.1	6.3	24.5	15.8
Ratios (%)				
Revenue/IC (x)	6.9	6.6	6.7	6.1
ROIC	26.4	36.2	37.6	37.4
ROE	11.8	11.4	13.0	13.7
ROA	4.7	4.7	5.4	5.8
EBITDA margin	6.6	8.8	9.2	10.2
Operating profit margin	2.4	4.2	4.7	5.3
EBITDA/net interest (x)				
Net debt/equity	-15.9	-14.5	-14.8	-15.8
Net debt/EBITDA (x)	-0.9	-0.7	-0.6	-0.6
CF from operations/net debt				
Per share data (CNY)				
EPS Rep (diluted)	1.15	1.22	1.52	1.77
HSBC EPS (diluted)	1.15	1.22	1.52	1.77
DPS	0.35	0.37	0.46	0.53
Book value	10.27	11.19	12.26	13.49

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	0.5	0.5	0.4	0.4
EV/EBITDA	8.3	5.8	4.7	4.0
EV/IC	3.7	3.1	2.7	2.3
PE*	6.8	6.4	5.1	4.4
PB	0.8	0.7	0.6	0.6
FCF yield (%)	21.1	1.8	3.4	4.9
Dividend yield (%)	4.5	4.7	5.8	6.8

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2025a	Governance Indicators	12/2025a
GHG emission intensity*	28.3	No. of board members	8
Energy intensity*	73.0	Average board tenure (years)	6.9
CO ₂ reduction policy	Yes	Female board members (%)	37.5
Social Indicators		Board members independence (%)	37.5
12/2025a			
Employee costs as % of revenues	9.6		
Employee turnover (%)	n/a		
Diversity policy	Yes		

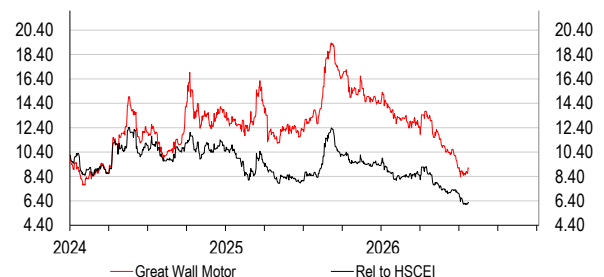
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (HKD)	9.09	Free float	100%
Target price (HKD)	9.30	Sector	Autos
RIC (Equity)	2333.HK	Country/Region	China
Bloomberg (Equity)	2333 HK	Analyst	Yuqian Ding
Market cap (USDm)	20,178	Contact	+852 2288 5108

Price relative



Source: HSBC

Note: Priced at close of 21 Jul 2026

Financials & valuation: GAC Group A

Hold

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (CNYm)				
Revenue	96,542	113,612	132,731	138,554
EBITDA	-5,856	-3,522	3,584	5,819
Depreciation & amortisation	-8,533	-9,281	-9,917	-10,536
Operating profit/EBIT	-14,389	-12,803	-6,333	-4,717
Net interest	-564	-726	-821	-884
PBT	-12,060	-10,139	-3,849	-2,375
HSBC PBT	-12,060	-10,139	-3,849	-2,375
Taxation	578	1,058	548	424
Net profit	-8,784	-5,906	409	1,922
HSBC net profit	-8,784	-5,906	409	1,922
Cash flow summary (CNYm)				
Cash flow from operations	-15,026	-2,005	3,892	5,610
Capex	-8,961	-9,089	-10,618	-11,084
Cash flow from investment	-5,642	-8,910	-10,439	-10,905
Dividends	-507	-346	0	0
Change in net debt	16,009	10,463	6,270	5,371
FCF equity	-23,902	-11,094	-6,726	-5,474
Balance sheet summary (CNYm)				
Intangible fixed assets	20,613	14,168	7,723	1,278
Tangible fixed assets	26,629	33,115	40,448	47,590
Current assets	99,110	92,783	90,025	86,015
Cash & others	38,776	28,813	23,042	18,172
Total assets	214,943	211,569	212,527	211,961
Operating liabilities	74,007	78,930	82,758	83,719
Gross debt	31,252	31,752	32,252	32,752
Net debt	-7,523	2,940	9,210	14,581
Shareholders' funds	105,232	99,673	100,084	102,008
Invested capital	33,568	32,323	32,396	32,992

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	-10.4	17.7	16.8	4.4
EBITDA	-1080.1			62.4
Operating profit				
PBT				
HSBC EPS	-1162.5			369.9
Ratios (%)				
Revenue/IC (x)	3.3	3.4	4.1	4.2
ROIC	-28.5	-17.3	0.3	4.3
ROE	-8.0	-5.8	0.4	1.9
ROA	-4.7	-3.8	-1.1	-0.5
EBITDA margin	-6.1	-3.1	2.7	4.2
Operating profit margin	-14.9	-11.3	-4.8	-3.4
EBITDA/net interest (x)			4.4	6.6
Net debt/equity	-6.9	2.9	9.4	15.3
Net debt/EBITDA (x)	1.3	-0.8	2.6	2.5
CF from operations/net debt			42.3	38.5
Per share data (CNY)				
EPS Rep (diluted)	-0.85	-0.58	0.04	0.19
HSBC EPS (diluted)	-0.85	-0.58	0.04	0.19
DPS	0.05	0.03	0.00	0.00
Book value	10.32	9.77	9.82	10.00

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	0.4	0.4	0.4	0.4
EV/EBITDA	nm	nm	13.8	8.8
EV/IC	1.2	1.5	1.5	1.5
PE*	nm	nm	127.2	27.1
PB	0.5	0.5	0.5	0.5
FCF yield (%)	-55.6	-25.8	-15.7	-12.7
Dividend yield (%)	1.0	0.7	0.0	0.0

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2025a	Governance Indicators	12/2025a
GHG emission intensity*	62.9	No. of board members	11
Energy intensity*	236.2	Average board tenure (years)	6.0
CO ₂ reduction policy	Yes	Female board members (%)	18.2
Social Indicators		Board members independence (%)	36.4
12/2025a			
Employee costs as % of revenues	12.8		
Employee turnover (%)	13.4		
Diversity policy	Yes		

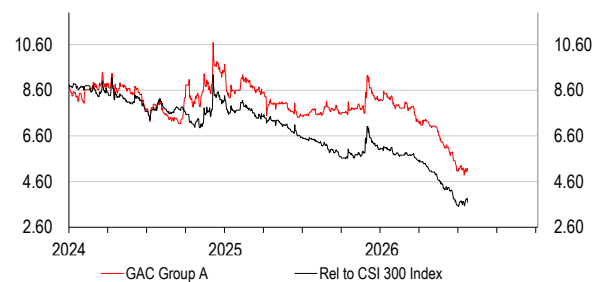
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (CNY)	5.10	Free float	11%
Target price (CNY)	5.08	Sector	Autos
RIC (Equity)	601238.SS	Country/Region	China
Bloomberg (Equity)	601238 CH	Analyst	Li Yang
Market cap (USDm)	6,351	Contact	+852 2288 6216

Price relative



Source: HSBC

Note: Priced at close of 21 Jul 2026

Financials & valuation: GAC Group

Hold

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (CNYm)				
Revenue	96,542	113,612	132,731	138,554
EBITDA	-5,856	-3,522	3,584	5,819
Depreciation & amortisation	-8,533	-9,281	-9,917	-10,536
Operating profit/EBIT	-14,389	-12,803	-6,333	-4,717
Net interest	-564	-726	-821	-884
PBT	-12,060	-10,139	-3,849	-2,375
HSBC PBT	-12,060	-10,139	-3,849	-2,375
Taxation	578	1,058	548	424
Net profit	-8,784	-5,906	409	1,922
HSBC net profit	-8,784	-5,906	409	1,922
Cash flow summary (CNYm)				
Cash flow from operations	-15,026	-2,005	3,892	5,610
Capex	-8,961	-9,089	-10,618	-11,084
Cash flow from investment	-5,642	-8,910	-10,439	-10,905
Dividends	-507	-346	0	0
Change in net debt	16,009	10,463	6,270	5,371
FCF equity	-23,902	-11,094	-6,726	-5,474
Balance sheet summary (CNYm)				
Intangible fixed assets	20,613	14,168	7,723	1,278
Tangible fixed assets	26,629	33,115	40,448	47,590
Current assets	99,110	92,783	90,025	86,015
Cash & others	38,776	28,813	23,042	18,172
Total assets	214,943	211,569	212,527	211,961
Operating liabilities	74,007	78,930	82,758	83,719
Gross debt	31,252	31,752	32,252	32,752
Net debt	-7,523	2,940	9,210	14,581
Shareholders' funds	105,232	99,673	100,084	102,008
Invested capital	33,568	32,323	32,396	32,992

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	-10.4	17.7	16.8	4.4
EBITDA	-1080.1			62.4
Operating profit				
PBT				
HSBC EPS	-1162.5			369.9
Ratios (%)				
Revenue/IC (x)	3.3	3.4	4.1	4.2
ROIC	-28.5	-17.3	0.3	4.3
ROE	-8.0	-5.8	0.4	1.9
ROA	-4.7	-3.8	-1.1	-0.5
EBITDA margin	-6.1	-3.1	2.7	4.2
Operating profit margin	-14.9	-11.3	-4.8	-3.4
EBITDA/net interest (x)			4.4	6.6
Net debt/equity	-6.9	2.9	9.4	15.3
Net debt/EBITDA (x)	1.3	-0.8	2.6	2.5
CF from operations/net debt			42.3	38.5
Per share data (CNY)				
EPS Rep (diluted)	-0.85	-0.58	0.04	0.19
HSBC EPS (diluted)	-0.85	-0.58	0.04	0.19
DPS	0.05	0.03	0.00	0.00
Book value	10.32	9.77	9.82	10.00

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	0.4	0.4	0.4	0.4
EV/EBITDA	nm	nm	13.8	8.8
EV/IC	1.2	1.5	1.5	1.5
PE*	nm	nm	47.1	10.0
PB	0.2	0.2	0.2	0.2
FCF yield (%)	-55.6	-25.8	-15.7	-12.7
Dividend yield (%)	2.6	1.8	0.0	0.0

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2025a	Governance Indicators	12/2025a
GHG emission intensity*	62.9	No. of board members	11
Energy intensity*	236.2	Average board tenure (years)	6.0
CO ₂ reduction policy	Yes	Female board members (%)	18.2
Social Indicators		Board members independence (%)	36.4
Employee costs as % of revenues	12.8		
Employee turnover (%)	13.4		
Diversity policy	Yes		

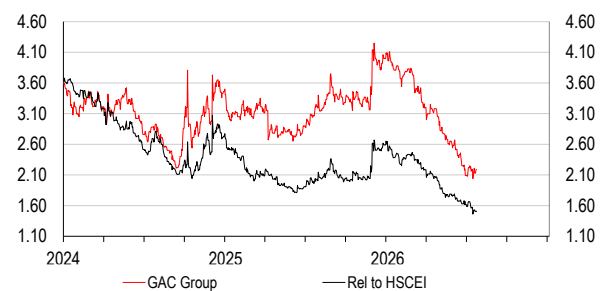
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (HKD)	2.19	Free float	91%
Target price (HKD)	2.13	Sector	Autos
RIC (Equity)	2238.HK	Country/Region	China
Bloomberg (Equity)	2238 HK	Analyst	Li Yang
Market cap (USDm)	6,351	Contact	+852 2288 6216

Price relative



Source: HSBC

Note: Priced at close of 21 Jul 2026

Financials & valuation: BAIC Motor

Hold

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (CNYm)				
Revenue	164,047	150,285	142,273	134,723
EBITDA	19,863	12,792	12,809	12,380
Depreciation & amortisation	-9,387	-8,735	-8,541	-8,338
Operating profit/EBIT	10,476	4,058	4,268	4,042
Net interest	-107	33	107	174
PBT	9,698	3,891	4,075	3,915
HSBC PBT	9,698	3,891	4,075	3,915
Taxation	-3,922	-1,616	-1,726	-1,664
Net profit	123	-1,025	-451	251
HSBC net profit	123	-1,025	-451	251
Cash flow summary (CNYm)				
Cash flow from operations	10,039	12,443	11,249	11,171
Capex	-9,133	-5,260	-4,980	-4,715
Cash flow from investment	-11,788	-4,555	-4,274	-4,010
Dividends	0	0	0	0
Change in net debt	9,564	-4,918	-4,455	-5,361
FCF equity	907	7,183	6,270	6,456
Balance sheet summary (CNYm)				
Intangible fixed assets	13,335	11,043	8,751	6,458
Tangible fixed assets	43,401	42,219	40,950	39,620
Current assets	76,102	77,395	79,052	81,994
Cash & others	23,366	28,285	32,740	38,101
Total assets	166,505	163,318	160,310	158,523
Operating liabilities	81,499	79,007	76,169	73,932
Gross debt	7,922	7,922	7,922	7,922
Net debt	-15,445	-20,363	-24,818	-30,179
Shareholders' funds	57,945	56,919	56,468	56,720
Invested capital	27,973	23,365	19,844	16,039

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	-14.8	-8.4	-5.3	-5.3
EBITDA	-23.5	-35.6	0.1	-3.4
Operating profit	-39.4	-61.3	5.2	-5.3
PBT	-39.3	-59.9	4.7	-3.9
HSBC EPS	-87.2	-935.7		
Ratios (%)				
Revenue/IC (x)	6.6	5.9	6.6	7.5
ROIC	30.2	14.5	17.5	20.3
ROE	0.2	-1.8	-0.8	0.4
ROA	3.5	1.5	1.6	1.5
EBITDA margin	12.1	8.5	9.0	9.2
Operating profit margin	6.4	2.7	3.0	3.0
EBITDA/net interest (x)	185.3			
Net debt/equity	-20.0	-26.7	-32.6	-39.4
Net debt/EBITDA (x)	-0.8	-1.6	-1.9	-2.4
CF from operations/net debt				
Per share data (CNY)				
EPS Rep (diluted)	0.02	-0.13	-0.06	0.03
HSBC EPS (diluted)	0.02	-0.13	-0.06	0.03
DPS	0.00	0.00	0.00	0.00
Book value	7.23	7.10	7.05	7.08

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	0.1	0.0	0.0	-0.0
EV/EBITDA	0.5	0.4	0.1	-0.3
EV/IC	0.3	0.2	0.0	-0.3
PE*	49.0	nm	nm	24.0
PB	0.1	0.1	0.1	0.1
FCF yield (%)	15.1	119.4	104.2	107.3
Dividend yield (%)	0.0	0.0	0.0	0.0

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2025a	Governance Indicators	12/2025a
GHG emission intensity*	15.1	No. of board members	15
Energy intensity*	50.2	Average board tenure (years)	4.0
CO ₂ reduction policy	Yes	Female board members (%)	13.3
Social Indicators		Board members independence (%)	33.3
12/2025a			
Employee costs as % of revenues	3.2		
Employee turnover (%)	1.1		
Diversity policy	Yes		

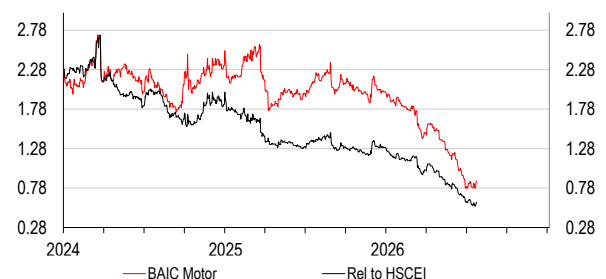
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (HKD)	0.87	Free float	66%
Target price (HKD)	0.80	Sector	Autos
RIC (Equity)	1958.HK	Country/Region	China
Bloomberg (Equity)	1958 HK	Analyst	Li Yang
Market cap (USDm)	889	Contact	+852 2288 6216

Price relative



Source: HSBC

Note: Priced at close of 21 Jul 2026

Disclosure appendix

Analyst Certification

The following analyst(s), economist(s), or strategist(s) who is(are) primarily responsible for this report, including any analyst(s) whose name(s) appear(s) as author of an individual section or sections of the report and any analyst(s) named as the covering analyst(s) of a subsidiary company in a sum-of-the-parts valuation certifies(y) that the opinion(s) on the subject security(ies) or issuer(s), any views or forecasts expressed in the section(s) of which such individual(s) is(are) named as author(s), and any other views or forecasts expressed herein, including any views expressed on the back page of the research report, accurately reflect their personal view(s) and that no part of their compensation was, is or will be directly or indirectly related to the specific recommendation(s) or views contained in this research report: Yuqian Ding and Li Yang

Important disclosures

Equities: Stock ratings and basis for financial analysis

HSBC and its affiliates, including the issuer of this report ("HSBC") believes an investor's decision to buy or sell a stock should depend on individual circumstances such as the investor's existing holdings, risk tolerance and other considerations and that investors utilise various disciplines and investment horizons when making investment decisions. Ratings should not be used or relied on in isolation as investment advice. Different securities firms use a variety of ratings terms as well as different rating systems to describe their recommendations and therefore investors should carefully read the definitions of the ratings used in each research report. Further, investors should carefully read the entire research report and not infer its contents from the rating because research reports contain more complete information concerning the analysts' views and the basis for the rating.

From 23rd March 2015 HSBC has assigned ratings on the following basis:

The target price is based on the analyst's assessment of the stock's actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

Prior to this date, HSBC's rating structure was applied on the following basis:

For each stock we set a required rate of return calculated from the cost of equity for that stock's domestic or, as appropriate, regional market established by our strategy team. The target price for a stock represented the value the analyst expected the stock to reach over our performance horizon. The performance horizon was 12 months. For a stock to be classified as Overweight, the potential return, which equals the percentage difference between the current share price and the target price, including the forecast dividend yield when indicated, had to exceed the required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). For a stock to be classified as Underweight, the stock was expected to underperform its required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). Stocks between these bands were classified as Neutral.

*A stock was classified as volatile if its historical volatility had exceeded 40%, if the stock had been listed for less than 12 months (unless it was in an industry or sector where volatility is low) or if the analyst expected significant volatility. However, stocks which we did not consider volatile may in fact also have behaved in such a way. Historical volatility was defined as the past month's average of the daily 365-day moving average volatilities. In order to avoid misleadingly frequent changes in rating, however, volatility had to move 2.5 percentage points past the 40% benchmark in either direction for a stock's status to change.

Rating distribution for long-term investment opportunities

As of 30 June 2026, the distribution of all independent ratings published by HSBC is as follows:

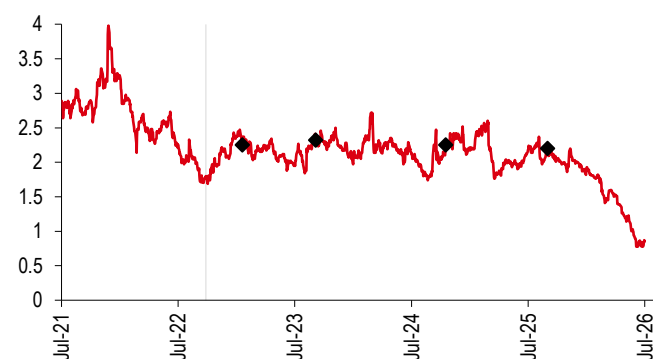
Buy	61%	(13% of these provided with Investment Banking Services in the past 12 months)
Hold	34%	(10% of these provided with Investment Banking Services in the past 12 months)
Sell	5%	(8% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

For the distribution of non-independent ratings published by HSBC, please see the disclosure page available at <http://www.hsbcnet.com/gbm/financial-regulation/investment-recommendations-disclosures>.

Share price and rating changes for long-term investment opportunities

BAIC Motor (1958.HK) share price performance HKD Vs HSBC rating history



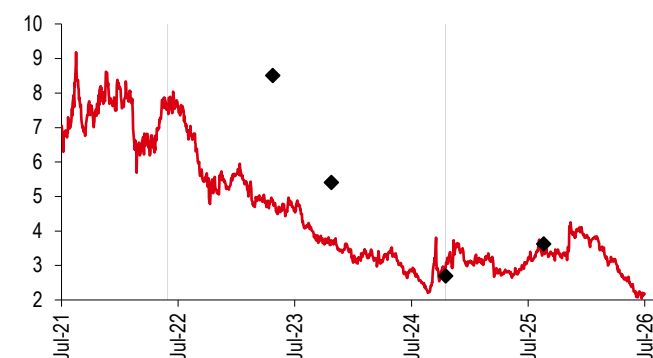
Source: HSBC

Rating & target price history

From	To	Date	Analyst
Reduce	Hold	18 Oct 2022	Yuqian Ding
Target price	Value	Date	Analyst
Price 1	2.25	09 Feb 2023	Yuqian Ding
Price 2	2.32	26 Sep 2023	Yuqian Ding
Price 3	2.25	06 Nov 2024	Li Yang
Price 4	2.20	21 Sep 2025	Li Yang

Source: HSBC

GAC Group (2238.HK) share price performance HKD Vs HSBC rating history

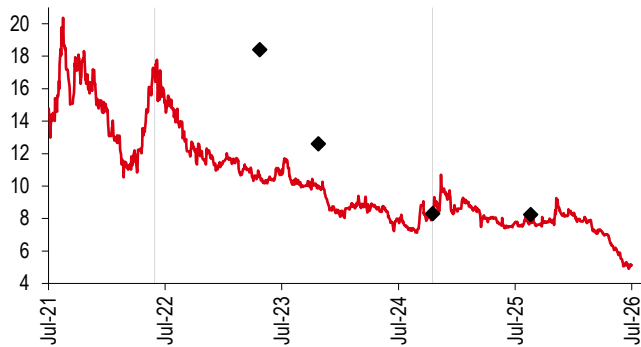


Source: HSBC

Rating & target price history

From	To	Date	Analyst
Hold	Buy	20 Jun 2022	Yuqian Ding
Buy	Hold	06 Nov 2024	Li Yang
Target price	Value	Date	Analyst
Price 1	8.50	15 May 2023	Yuqian Ding
Price 2	5.40	15 Nov 2023	Yuqian Ding
Price 3	2.69	06 Nov 2024	Li Yang
Price 4	3.62	09 Sep 2025	Li Yang

Source: HSBC

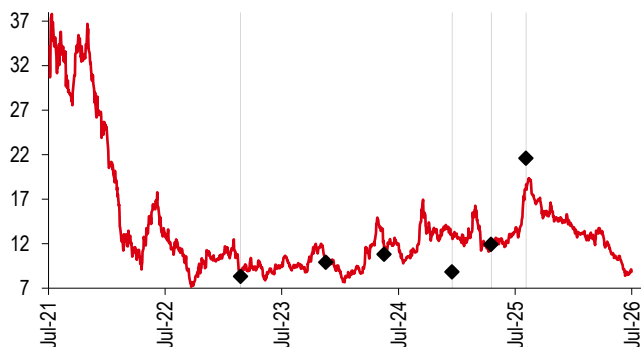
**GAC Group A (601238.SS) share price performance CNY
Vs HSBC rating history**


Source: HSBC

Rating & target price history

From	To	Date	Analyst
Hold	Buy	20 Jun 2022	Yuqian Ding
Buy	Hold	06 Nov 2024	Li Yang
Target price	Value	Date	Analyst
Price 1	18.40	15 May 2023	Yuqian Ding
Price 2	12.60	15 Nov 2023	Yuqian Ding
Price 3	8.30	06 Nov 2024	Li Yang
Price 4	8.23	09 Sep 2025	Li Yang

Source: HSBC

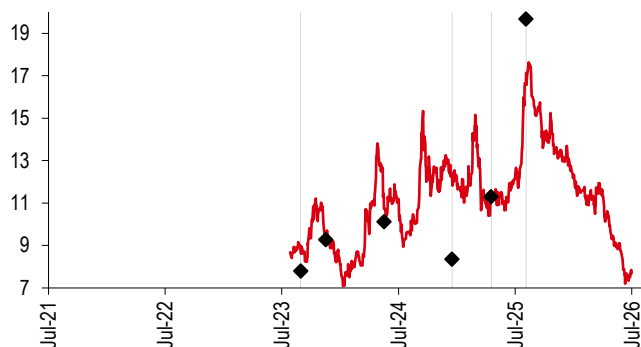
**Great Wall Motor (2333.HK) share price performance
HKD Vs HSBC rating history**


Source: HSBC

Rating & target price history

From	To	Date	Analyst
Buy	Hold	16 Mar 2023	Yuqian Ding
Hold	Reduce	06 Jan 2025	Yuqian Ding
Reduce	Hold	08 May 2025	Yuqian Ding
Hold	Buy	25 Aug 2025	Yuqian Ding
Target price	Value	Date	Analyst
Price 1	8.30	16 Mar 2023	Yuqian Ding
Price 2	9.90	08 Dec 2023	Yuqian Ding
Price 3	10.80	07 Jun 2024	Yuqian Ding
Price 4	8.80	06 Jan 2025	Yuqian Ding
Price 5	11.90	08 May 2025	Yuqian Ding
Price 6	21.60	25 Aug 2025	Yuqian Ding

Source: HSBC

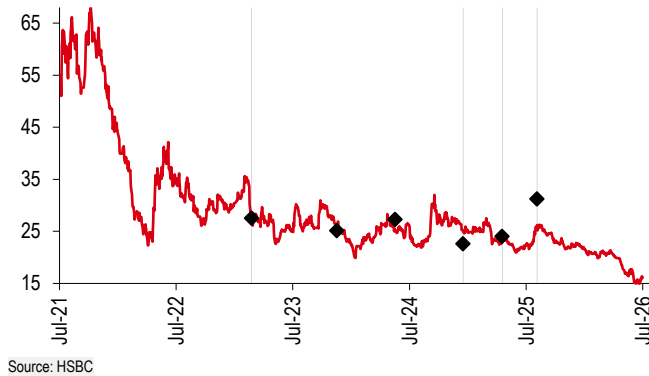
**Great Wall Motor (82333.HK) share price performance
CNY Vs HSBC rating history**


Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Hold	20 Sep 2023	Yuqian Ding
Hold	Reduce	06 Jan 2025	Yuqian Ding
Reduce	Hold	08 May 2025	Yuqian Ding
Hold	Buy	25 Aug 2025	Yuqian Ding
Target price	Value	Date	Analyst
Price 1	7.80	20 Sep 2023	Yuqian Ding
Price 2	9.27	08 Dec 2023	Yuqian Ding
Price 3	10.11	07 Jun 2024	Yuqian Ding
Price 4	8.35	06 Jan 2025	Yuqian Ding
Price 5	11.29	08 May 2025	Yuqian Ding
Price 6	19.66	25 Aug 2025	Yuqian Ding

Source: HSBC

**Great Wall Motor A (601633.SS) share price performance
CNY Vs HSBC rating history**

Rating & target price history

From	To	Date	Analyst
Buy	Hold	16 Mar 2023	Yuqian Ding
Hold	Reduce	06 Jan 2025	Yuqian Ding
Reduce	Hold	08 May 2025	Yuqian Ding
Hold	Buy	25 Aug 2025	Yuqian Ding
Target price	Value	Date	Analyst
Price 1	27.50	16 Mar 2023	Yuqian Ding
Price 2	25.10	08 Dec 2023	Yuqian Ding
Price 3	27.30	07 Jun 2024	Yuqian Ding
Price 4	22.60	06 Jan 2025	Yuqian Ding
Price 5	24.00	08 May 2025	Yuqian Ding
Price 6	31.20	25 Aug 2025	Yuqian Ding

Source: HSBC

To view a list of all the independent fundamental ratings/recommendations disseminated by HSBC during the preceding 12-month period, and the location where we publish our quarterly distribution of non-fundamental recommendations (applicable to Fixed Income and Currencies research only), please use the following links to access the disclosure page:

Clients of HSBC Private Bank: www.research.privatebank.hsbc.com/Disclosures

All other clients: www.research.hsbc.com/A/Disclosures

HSBC & Analyst disclosures
Disclosure checklist

Company	Ticker	Recent price	Price date	Disclosure
BAIC MOTOR	1958.HK	.85	22 Jul 2026	-
GAC GROUP	2238.HK	2.17	22 Jul 2026	7
GAC GROUP A	601238.SS	5.12	22 Jul 2026	7
GREAT WALL MOTOR	2333.HK	8.87	22 Jul 2026	4, 11
GREAT WALL MOTOR A	601633.SS	16.08	22 Jul 2026	4, 11

Source: HSBC

- HSBC has managed or co-managed a public offering of securities for this company within the past 12 months.
- HSBC expects to receive or intends to seek compensation for investment banking services from this company in the next 3 months.
- At the time of publication of this report, HSBC Securities (USA) Inc. is a Market Maker in securities issued by this company.
- As of 30 June 2026, HSBC beneficially owned 1% or more of a class of common equity securities of this company.
- This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of investment banking services.
- This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of non-investment banking securities-related services.
- This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of non-securities services.
- A covering analyst/s has received compensation from this company in the past 12 months.
- A covering analyst/s or a member of his/her household has a financial interest in the securities of this company, as detailed below.
- A covering analyst/s or a member of his/her household is an officer, director or supervisory board member of this company, as detailed below.
- At the time of publication of this report, HSBC is a non-US Market Maker in securities issued by this company and/or in securities in respect of this company.
- As of 17 July 2026, HSBC beneficially held a net long position of more than 0.5% of this company's total issued share capital, calculated according to the SSR methodology.

- 13 As of 17 July 2026, HSBC beneficially held a net short position of more than 0.5% of this company's total issued share capital, calculated according to the SSR methodology.
- 14 HSBC Qianhai Securities Limited holds 1% or more of a class of common equity securities of this company.

HSBC and its affiliates will from time to time sell to and buy from customers the securities/instruments, both equity and debt (including derivatives) of companies covered in HSBC Research on a principal or agency basis or act as a market maker or liquidity provider in the securities/instruments mentioned in this report.

Analysts, economists, and strategists are paid in part by reference to the profitability of HSBC which includes investment banking, sales & trading, and principal trading revenues.

Whether, or in what time frame, an update of this analysis will be published is not determined in advance.

Non-U.S. analysts may not be associated persons of HSBC Securities (USA) Inc, and therefore may not be subject to FINRA Rule 2241 or FINRA Rule 2242 restrictions on communications with the subject company, public appearances and trading securities held by the analysts.

Economic sanctions laws imposed by certain jurisdictions such as the US, the EU, the UK, and others, may prohibit persons subject to those laws from making certain types of investments, including by transacting or dealing in securities of particular issuers, sectors, or regions. This report does not constitute advice in relation to any such laws and should not be construed as an inducement to transact in securities in breach of such laws.

For disclosures in respect of any company mentioned in this report, please see the most recently published report on that company available at www.hsbcnet.com/research. HSBC Private Bank clients should contact their Relationship Manager for queries regarding other research reports. In order to find out more about the proprietary models used to produce this report, please contact the authoring analyst.

Additional disclosures

- 1 This report is dated as at 24 July 2026.
- 2 All market data included in this report are dated as at close 21 July 2026, unless a different date and/or a specific time of day is indicated in the report.
- 3 HSBC has procedures in place to identify and manage any potential conflicts of interest that arise in connection with its Research business. HSBC's analysts and its other staff who are involved in the preparation and dissemination of Research operate and have a management reporting line independent of HSBC's Investment Banking business. Information Barrier procedures are in place between the Investment Banking, Principal Trading, and Research businesses to ensure that any confidential and/or price sensitive information is handled in an appropriate manner.
- 4 You are not permitted to use, for reference, any data in this document for the purpose of (i) determining the interest payable, or other sums due, under loan agreements or under other financial contracts or instruments, (ii) determining the price at which a financial instrument may be bought or sold or traded or redeemed, or the value of a financial instrument, and/or (iii) measuring the performance of a financial instrument or of an investment fund.

Production & distribution disclosures

1. This report was produced and signed off by the author on 23 Jul 2026 03:01 GMT.
2. In order to see when this report was first disseminated please see the disclosure page available at <https://www.research.hsbc.com/R/34/cXvP6NF>

Disclaimer

Legal entities as at 13 May 2026:

HSBC Bank plc; HSBC Continental Europe; HSBC Continental Europe SA, Germany; HSBC Bank Middle East Limited, DIFC; HSBC Bank Middle East Limited, Dubai branch; HSBC Yatirim Menkul Degerler AS, Istanbul; The Hongkong and Shanghai Banking Corporation Limited, Hong Kong; The Hongkong and Shanghai Banking Corporation Limited, Singapore Branch; The Hongkong and Shanghai Banking Corporation Limited, Seoul Securities Branch; The Hongkong and Shanghai Banking Corporation Limited, Seoul Branch; HSBC Qianhai Securities Limited; HSBC Securities (Taiwan) Corporation Limited; HSBC Securities and Capital Markets (India) Private Limited, Mumbai; HSBC Bank Australia Limited; HSBC Securities (USA) Inc., New York; HSBC México, SA, Institución de Banca Múltiple, Grupo Financiero HSBC; Banco HSBC SA

Issuer of report

The Hongkong and Shanghai Banking Corporation Limited
Level 16, 1 Queen's Road Central
Hong Kong SAR
Telephone: +852 2843 9111
Fax: +852 2596 0200
Website: www.research.hsbc.com

This document has been issued by The Hongkong and Shanghai Banking Corporation Limited ("HSBC") in the conduct of its Hong Kong regulated business for the information of its institutional and professional investor (as defined by Securities and Future Ordinance (Chapter 571)) customers; it is not intended for and should not be distributed to retail customers in Hong Kong, unless permitted otherwise. The Hongkong and Shanghai Banking Corporation Limited is regulated by the Hong Kong Monetary Authority. All enquiries by recipients in Hong Kong must be directed to your HSBC Bank plc in Hong Kong. If it is received by a customer of an affiliate of HSBC, its provision to the recipient is subject to the terms of business in place between the recipient and such affiliate. This document is not and should not be construed as an offer to sell or the solicitation of an offer to purchase or subscribe for any investment. HSBC has based this document on information obtained from sources it believes to be reliable but which it has not independently verified; HSBC makes no guarantee, representation or warranty and accepts no responsibility or liability as to its accuracy or completeness. Expressions of opinion are those of the Research Division of HSBC only and are subject to change without notice. From time to time research analysts conduct site visits of covered issuers. HSBC policies prohibit research analysts from accepting payment or reimbursement for travel expenses from the issuer for such visits. HSBC and its affiliates and/or their officers, directors and employees may have positions in any securities mentioned in this document (or in any related investment) and may from time to time add to or dispose of any such securities (or investment). HSBC and its affiliates may act as market maker or have assumed an underwriting commitment in the securities of companies discussed in this document (or in related investments), may sell them to or buy them from customers on a principal basis and may also perform or seek to perform investment banking or underwriting services for or relating to those companies. The document is intended to be distributed in its entirety. Unless governing law permits otherwise, you must contact a HSBC Group member in your home jurisdiction if you wish to use HSBC Group services in effecting a transaction in any investment mentioned in this document.

In the UK, this publication is distributed by HSBC Bank plc for the information of its Clients (as defined in the Rules of FCA) and those of its affiliates only. Nothing herein excludes or restricts any duty or liability to a customer which HSBC Bank plc has under the Financial Services and Markets Act 2000 or under the Rules of FCA and PRA. A recipient who chooses to deal with any person who is not a representative of HSBC Bank plc in the UK will not enjoy the protections afforded by the UK regulatory regime. HSBC Bank plc is regulated by the Financial Conduct Authority and the Prudential Regulation Authority.

In the European Economic Area, this publication has been distributed by HSBC Continental Europe or by such other HSBC affiliate from which the recipient receives relevant services.

In Japan, this publication has been distributed by HSBC Securities (Japan) Co., Ltd.. It may not be further distributed in whole or in part for any purpose. In Korea, this publication is distributed by either The Hongkong and Shanghai Banking Corporation Limited, Seoul Securities Branch ("HBAP SLS") or The Hongkong and Shanghai Banking Corporation Limited, Seoul Branch ("HBAP SEL") for the general information of professional investors specified in Article 9 of the Financial Investment Services and Capital Markets Act ("FSCMA"). This publication is not a prospectus as defined in the FSCMA. It may not be further distributed in whole or in part for any purpose. Both HBAP SLS and HBAP SEL are regulated by the Financial Services Commission and the Financial Supervisory Service of Korea.

In Singapore, this publication is distributed by The Hongkong and Shanghai Banking Corporation Limited, Singapore Branch for the general information of institutional investors or other persons specified in Sections 274 and 304 of the Securities and Futures Act 2001 of Singapore ("SFA") and accredited investors and other persons in accordance with the conditions specified in Sections 275 and 305 of the SFA. Only Economics or Currencies reports are intended for distribution to a person who is not an Accredited Investor, Expert Investor or Institutional Investor as defined in SFA. The Hongkong and Shanghai Banking Corporation Limited, Singapore Branch accepts legal responsibility for the contents of reports. This publication is not a prospectus as defined in the SFA. It may not be further distributed in whole or in part for any purpose. The Hongkong and Shanghai Banking Corporation Limited Singapore Branch is regulated by the Monetary Authority of Singapore. Recipients in Singapore should contact a "Hongkong and Shanghai Banking Corporation Limited, Singapore Branch" representative in respect of any matters arising from, or in connection with this report. Please refer to The Hongkong and Shanghai Banking Corporation Limited Singapore Branch's website at www.business.hsbc.com.sg for contact details. In Australia, this publication has been distributed by The Hongkong and Shanghai Banking Corporation Limited (ABN 65 117 925 970, AFSL 301737) for the general information of its "wholesale" customers (as defined in the Corporations Act 2001). Where distributed to retail customers, this research is distributed by HSBC Bank Australia Limited (ABN 48 006 434 162, AFSL No. 232595). These respective entities make no representations that the products or services mentioned in this document are available to persons in Australia or are necessarily suitable for any particular person or appropriate in accordance with local law. No consideration has been given to the particular investment objectives, financial situation or particular needs of any recipient.

HSBC Securities (USA) Inc. accepts responsibility for the content of this research report prepared by its non-US foreign affiliate. The information contained herein is under no circumstances to be construed as investment advice and is not tailored to the needs of the recipient. All US persons receiving and/or accessing this report and wishing to effect transactions in any security discussed herein should do so with HSBC Securities (USA) Inc. in the United States and not with its non-US foreign affiliate, the issuer of this report. HSBC México, S.A., Institución de Banca Múltiple, Grupo Financiero HSBC is authorized and regulated by Secretaría de Hacienda y Crédito Público and Comisión Nacional Bancaria y de Valores (CNBV). In Brazil, this document has been distributed by Banco HSBC SA ("HSBC Brazil"), and/or its affiliates. As required by Resolution No. 20/2021 of the Securities and Exchange Commission of Brazil (Comissão de Valores Mobiliários), potential conflicts of interest concerning (i) HSBC Brazil and/or its affiliates; and (ii) the analyst(s) responsible for authoring this report are stated on the chart above labelled "HSBC & Analyst Disclosures".

If you are a customer of HSBC International Wealth & Premier Banking ("IWPB"), including HSBC Private Bank, you are eligible to receive this publication only if: (i) you have been approved to receive relevant research publications by an applicable HSBC legal entity; (ii) you have agreed to the applicable HSBC entity's terms and conditions and/or customer declaration for accessing research; and (iii) you have agreed to the terms and conditions of any other internet banking, online banking, mobile banking and/or investment services offered by that HSBC entity, through which you will access research publications (collectively with (ii), the "Terms"). If you do not meet the above eligibility requirements, please disregard this publication and, if you are a IWPB customer, please notify your Relationship Manager or call the relevant customer hotline. Distribution of this publication is the sole responsibility of the HSBC entity with whom you have agreed the Terms. Receipt of research publications is strictly subject to the Terms and any other conditions or disclaimers applicable to the provision of the publications that may be advised by IWPB.

© Copyright 2026, The Hongkong and Shanghai Banking Corporation Limited, ALL RIGHTS RESERVED. No part of this publication may be reproduced, stored in a retrieval system, or transmitted, on any form or by any means, electronic, mechanical, photocopying, recording, or otherwise, without the prior written permission of The Hongkong and Shanghai Banking Corporation Limited.

[1283256]

Stay connected to our topical and timely thought leadership



Download the HSBC Global Investment Research app

From Apple's [App Store](#) or [Google Play](#) The app features topical and timely curated reports, multimedia, and upcoming events



Log on to the Global Investment Research website

To access all reports and videos, visit research.hsbc.com



Connect with Global Investment Research on LinkedIn

Search [#HSBCResearch](#) for free to view insights that can easily be shared with clients and prospects



Subscribe and listen

Under the Banyan Tree by HSBC Global Investment Research on [Apple](#), [Spotify](#) or [YouTube](#)
The Macro Brief by HSBC Global Investment Research on [Apple](#), [Spotify](#) or [YouTube](#)



Newsletters

Subscribe to our monthly collection of free to view reports and interviews in [Open Pass](#) or read our bite-sized round up of research covering our nine key themes, [Talking Points](#)